Midterm Revision (Click here)

You should know how to prepare 4 tables:

❶ Income Statement

Company's name

Statement name

For the year ended on date

Net Sales	XX
(-) COGS	(XX)
Gross Profit	XX
(-) S&A expenses	(XX)
± RGEL	
Gain on sale Land	XX
Loss on sale equipment	(XX)
Franchise fees revenue	XX
Interest revenue	XX
U G F H T S	XX
Income from operations	XX
(-) Interest expense	(XX)
Income before tax	A
(-) Tax (A x tax rate)	(XX)
IFCO	B
DISCO (result x "100% - tax rate")	(C)
Net Income	D
EPS from IFCO = (B – PD) / ord. shares	XX
EPS from DISCO = (C) / ord. shares	XX
EPS from NI = (D – PD) / ord. shares	XX

Comprehensive income

Net Income	XX
± Other Comprehensive Income (OCI)	
U G F H Non-T S (result x "100% - tax rate")	XX
Comprehensive Income	XX

❸ Balance sheet

Assets		
Non-current assets		
❶ Long term investment		XX
❷ PPE		XX
❸ Intangible assets		XX
❹ Other assets		XX
Current assets		
Inventory	XX	
Receivables	XX	
Prepaid expense	XX	
Short term investment	XX	
Cash	XX	XX
		XX
Equities		
Share capital	XX	
Share Premium (APIC)	XX	
Retained Earnings	XX	XX
Liabilities		
Non-current liabilities		XX
Current liabilities		XX
		XX

❷ Retained Earnings

RE Beg.	XX
± Prior year corrections (net of tax)	XX
± Cumulative effective (net of tax)	XX
Adjusted RE Beg.	XX
+ Net Income	XX
(-) Dividends (all declared dividends)	XX
RE End.	XX

Prior year corrections

Expense		Revenue	
Similar		Inverse	
Understatement Accountant record expense less	(-)	**Understatement** Accountanat fail to record revenue	+
Overstatement Accountant record expense more	+	**Overstatement** Accountanat record revenue twice	(-)

Cumulative effect

Given	Not given
Do what is given in the problem as it is.	1- Sum prior old 2- Sum prior new 3- Cum. Eff. = 1 - 2

❹ Cash Flow Statement

Operating activities:		
Net Income	XX	
+ Dep. ex.	XX	
+ Loss on sale assets	XX	
(-) Gain on sale assets	XX	
± Δ current assets inversely	XX	
± Δ current liabilities directly	XX	
Net cash provided by (used in) operating activities		XX
Investing activities:		
Proceeds from selling NC assets	XX	
Paid to purchasing NC assets	(XX)	
Net cash provided by (used in) investing activities		XX
Financing activities:		
Proceeds from issuance shares (Bonds)	XX	
Paid to retire bonds	(XX)	
Paid to purchase treasury share	(XX)	
Cash dividends paid	(XX)	
Net cash provided by (used in) financing activities		XX
Net change in cash		XX
+ Cash Beginning balance		XX
Cash Ending balance		XX

FCF = OCF – CapEx – Dividends

(1): Presented below is information related to Webster Company (amounts in thousands).

<u>Administrative expenses</u>	
Officers' salaries	**£4,900**
Depreciation of office furniture and equipment	**3,960**
Cost of goods sold	**63,570**
Rent revenue	**17,230**
<u>Selling expenses</u>	
Delivery expense	**2,690**
Sales commissions	**7,980**
Depreciation of sales equipment	**6,480**
Sales revenue	**96,500**
Income tax	**7,580**
Interest expense	**1,860**

<u>Instructions:</u> Prepare an income statement for the year 2024. Ordinary shares outstanding for 2024 total 40,550 (in thousands).

Solution

S&A expenses = 4,900 + 3,960 + 2,690 + 7,980 + 6,480 = 26,010

Webster Company
Income Statement
For the year ended on 12/31/2024

Sales	96,500
(-) COGS	(63,570)
Gross Profit	32,930
(-) S&A expenses	(26,010)
± RGEL	
Rent Revenue	17,230
NOI (Income from operations)	24,150
(-) Interest expense	(1,860)
Income before tax	22,290
(-) Tax	(7,580)
Net Income	14,710

EPS = $^{14,710}/_{40,550}$ = £0.36 per share

(2): Presented below is information related to Mostafa Company for the year ended December 31, 2024:

Sales Revenue	**$5,000**
Gain on sale land	**2,000**
Cost of goods sold	**3,000**
Income before income taxes	**1,800**
Selling & administrative expenses	**1,000**
Income tax rate	**30%**

<u>Instructions:</u>

1-Prepare income from operations section that would appear on the income statement of 2024?

2-Compute interest expense for 2024.

Solution

Mostafa Company
Income Statement
For the year ended on 12/31/2024

Sales	5,000
(-) COGS	(3,000)
Gross Profit	2,000
(-) S&A expenses	(1,000)
± RGEL	
Gain on sale land	2,000
Income from operations	3,000
(-) Interest expense	(1,200)
Income before tax	1,800

(3): The following balances were taken from the books of Parnevik Corp. on December 31, 2024.

Interest revenue	**€86,000**	**Acc. Dep.— buildings**	**€28,000**
Cash	**51,000**	**Notes receivable**	**155,000**
Sales revenue	**1,280,000**	**Selling expenses**	**194,000**
Accounts receivable	**150,000**	**Accounts payable**	**170,000**
Prepaid insurance	**20,000**	**Bonds payable**	**100,000**
Sales returns and allowances	**150,000**	**Administrative and general expenses**	**97,000**
Allowance for doubtful accounts	**7,000**	**Accrued liabilities**	**32,000**
Sales discounts	**45,000**	**Interest expense**	**60,000**
Land	**100,000**	**Notes payable**	**100,000**
Equipment	**200,000**	**Loss from impairment of plant assets**	**120,000**
Buildings	**140,000**	**Share capital—ordinary**	**500,000**
Cost of goods sold	**621,000**	**Retained earnings**	**21,000**
Acc. Dep.—equipment	**40,000**		

Assume the total effective tax rate on all items is 34%.

Instructions: **Prepare an income statement; 100,000 ordinary shares were outstanding during the year.**

Solution

Net sales = Sales – RAD = 1,280,000 – 150,000 – 45,000 = 1,085,000

S&A expenses = 97,000 + 194,000 = 291,000

Parnevik Corporation

Income Statement

For the year ended on 12/31/2024

Sales (-) COGS	1,085,000 (621,000)
Gross Profit	464,000
(-) S&A expenses	(291,000)
± RGEL Interest Revenue Loss from impairment	 86,000 (120,000)
NOI (Income from operations)	139,000
(-) Interest expense	(60,000)
Income before tax	79,000
(-) Tax (79,000 x 34%)	(26,860)
Net Income	52,140

EPS = ^{52,140} / $_{100,000}$ = €0.52 per share

(4): At December 31, 2023, Schroeder Corporation had the following shares outstanding.

8% cumulative preference shares, €100 par, 107,500 shares	**€10,750,000**
Ordinary shares, €5 par, 4,000,000 shares	**€20,000,000**

During 2024, Schroeder did not issue any additional shares. The following also occurred during 2024.

Income before income tax	**€21,650,000**
Discontinued operations (loss before taxes)	**3,225,000**
Preference dividends declared	**860,000**
Ordinary dividends declared	**2,200,000**
Effective tax rate	**35%**

Instructions: Compute earnings per share data as it should appear in the 2024 income statement of Schroeder Corporation. (Round to two decimal places.)

Solution

Income before tax	21,650,000
(-) Tax (21,650,000 x 35%)	(7,577,500)
Income from continuing operations (IFCO)	14,072,500
(DISCO) Loss from discontinued operations (3,225,000 x 65%)	(2,096,250)
Net Income	11,976,250
EPS from continued operations = (14,072,500 – 860,000) / 4,000,000 =	3.3 per share
EPS from discontinued operations = (2,096,250) / 4,000,000 =	- 0.52 per share
EPS from Net Income = (11,976,250 – 860,000) / 4,000,000 =	2.78 per share

(5): The accountant of Weatherspoon Shoe Co. has compiled the following information from the company's records as a basis for an income statement for the year ended December 31, 2024.

Rent revenue	**£ 29,000**
Interest expense	**18,000**
Unrealized gain on non-trading equity securities, net of tax	**31,000**
Selling expenses	**140,000**
Income tax	**30,600**
Administrative expenses	**181,000**
Cost of goods sold	**516,000**
Net sales	**980,000**
Cash dividends declared	**16,000**
Loss on sale of plant assets	**15,000**

There were 20,000 ordinary shares outstanding during the year.

Instructions: Prepare a comprehensive income statement using the two statement approach.

Solution

WEATHERSPOON SHOE CO.
Income Statement
For the Year Ended December 31, 2024

Net Sales	980,000
(-) COGS	(516,000)
Gross Profit	464,000
(-) S & A ex. (140,000 + 181,000)	(321,000)
± RGEL	
Rent revenue	29,000
Loss on sale of plant assets	(15,000)
NOI (Income from operations)	157,000
(-) Interest expense	(18,000)
Income before tax	139,000
(-) Tax	(30,600)
Net Income	108,400

EPS = 108,400 / 20,000 = 5.42 per share

WEATHERSPOON SHOE CO.
Comprehensive Income Statement
For the Year Ended December 31, 2024

Net Income	108,400
OCI (Other Comprehensive Income):	
Unrealized gain of non-trading sec.	31,000
Comprehensive income	139,400

(6): McEntire Corporation began operations on January 1, 2021. During its first 3 years of operations, McEntire reported net income and declared dividends as follows.

	Net income	Dividends declared
2021	**$40,000**	**$ –0–**
2022	**125,000**	**50,000**
2023	**160,000**	**50,000**

The following information relates to 2024.

Income before income tax	**$220,000**
Prior period adjustment:	
1) understatement of 2022 depreciation expense (before taxes)	**$37,500**
2) In 2021, the accountant failed to record rent revenue (before taxes).	**$12,500**
Cumulative decrease in income from change in inventory methods (before taxes)	**$45,000**
Dividends declared (of this amount, $25,000 will be paid on Jan. 15, 2025)	**$100,000**
Effective tax rate	**20%**

Instructions:

1) Prepare a 2024 retained earnings statement for McEntire Corporation.

2) Assume McEntire Corp. restricted retained earnings in the amount of $70,000 on December 31, 2024. After this action, what would McEntire report as total retained earnings in its December 31, 2024, statement of financial position?

Solution

1) Retained earnings 2024

Retained earnings beginning for 2024 = (40,000 + 125,000 + 160,000) – (50,000 + 50,000) = 225,000

RE $_{Beg.}$	225,000
(-) understatement of 2022 depreciation expense (37,500 x 80%)	(30,000)
+ understatement of 2021 rent revenue (12,500 x 80%)	10,000
(-) Cumulative decrease in income (45,000 x 80%)	(36,000)
Adjusted RE $_{Beg.}$	169,000
+ Net Income (220,000 x 80%)	176,000
(-) Dividends	(100,000)
RE $_{End.}$	245,000

2) Classifying Retained earnings

Appropriated RE	70,000
Unappropriated RE = 245,000 – 70,000 =	175,000
Total	245,000

(7):

The following information was taken from the records of Vega Inc. for the year 2024: income tax applicable to income from continuing operations are $119,000, income tax applicable to loss on discontinued operations are $25,500, and unrealized holding gain on non-trading equity securities are $15,000 (net of tax).

Gain on sale of plant assets	**$95,000**	**Cash dividends declared**	**$150,000**
Loss on discontinued operations	**75,000**	**Retained earnings January 1, 2024**	**600,000**
Administrative expenses	**240,000**	**Cost of goods sold**	**850,000**
Rent revenue	**40,000**	**Selling expenses**	**300,000**
Loss on impairment of land	**60,000**	**Sales revenue**	**1,700,000**

Ordinary shares outstanding during 2024 were 100,000.

Instructions:

1) Prepare a comprehensive income statement for 2024 using the one statement approach.

2) Prepare a retained earnings statement for 2024.

Solution

Vega Inc.

Statement of Comprehensive Income

For the Year Ended December 31, 2024

Net Sales	1,700,000
(-) COGS	(850,000)
Gross Profit	850,000
(-) S & A ex. (240,000 + 300,000)	(540,000)
± RGEL	
Gain on sale of plant assets	95,000
Rent revenue	40,000
Loss on impairment land	(60,000)
Income before tax	385,000
(-) Tax	(119,000)
Income from continuing operations (IFCO)	266,000
(DISCO) Loss on discontinued operations (75,000 – 25,500)	**(49,500)**
Net Income	216,500
OCI (Other Comprehensive Income):	
Unrealized gain of non-trading sec.	15,000
Comprehensive income	231,500
EPS from continued operations = $^{266,000} / _{100,000}$ =	2.66 per share
EPS from discontinued operations = $^{(49,500)} / _{100,000}$ =	- 0.495 per share
EPS from Net Income = $^{216,500} / _{100,000}$ =	2.165 per share

Vega Inc.

Statement of Comprehensive Income

For the Year Ended December 31, 2024

RE $_{Beg.}$	600,000
+ Net Income	216,500
(-) Dividends	(150,000)
RE $_{End.}$	666,500

(7):

Maher Inc. reported income before income tax during 2024 of €790,000. Additional transactions occurring in 2024 but not considered in the €790,000 are as follows.

1. **The corporation experienced an uninsured flood loss in the amount of €90,000 during the year.**
2. **At the beginning of 2022, the corporation purchased a machine for €54,000 (residual value of €9,000) that had a useful life of 6 years. The bookkeeper used straight-line depreciation for 2022, 2023, and 2024 but failed to deduct the residual value in computing the depreciation base.**
3. **Sale of securities held as a part of its portfolio resulted in a gain of €47,000.**
4. **The corporation disposed of its recreational division at a loss of €115,000 before taxes. Assume that this transaction meets the criteria for discontinued operations.**
5. **The corporation decided to change its method of inventory pricing from average-cost to the FIFO method. The effect of this change on prior years is to increase 2022 income by €60,000 and decrease 2023 income by €20,000 before taxes. The FIFO method has been used for 2024.**

Instructions

Prepare an income statement for the year 2024, starting with income before income tax. Compute earnings per share as it should be shown on the face of the income statement. Ordinary shares outstanding for the year are 120,000 shares. (Assume a tax rate of 30% on all items.)

Solution

We should reconcile the given income as follows:

Item (1): Loss from flood should be deducted with other RGEL.

Item (2): Old Dep. = $^{54,000} / _{6}$ = 9,000 annually.

Correct Dep. = $^{(54,000 - 9,000)} / _{6}$ = 7,500 annually.

Change in estimates within the current year (2024) = 9,000 – 7,500 = 1,500 (add to income)

While the correction for prior years (2022 & 2023) = 1,500 x 2 = 3,000 (will add to RE $_{Beg.}$)

Item (3): Gain from selling securities (47,000 realized gain) should add to income.

Item (4): Loss from disposal discontinued operation will appear in a separate section.

Item (5): change in accounting methods will adjust the RE $_{Beg.}$ By cumulative effect for prior years, while the current year will apply the new method.

Now, we can adjust the given income as follows:

Unadjusted income	790,000
Flood Loss (item 1)	(90,000)
Change in estimates (item 2)	1,500
Gain on sale securities (item 3)	47,000
Correct Income before tax	748,500

Now, we can prepare partial income statement as follows:

Income before tax	748,500
(-) Tax (748,500 x 30%)	(224,550)
Income from continuing operations (IFCO)	523,950
(DISCO) Loss from discontinued operations (115,000 x 70%)	**(80,500)**
Net Income	443,450
EPS from continued operations = $^{523,950} / _{120,000}$ =	4.37 per share
EPS from **dis**continued operations = $^{(80,500)} / _{120,000}$ =	- 3.67 per share
EPS **from Net Income** = $^{443,450} / _{120,000}$ =	3.7 per share

(8): Presented below are selected trial balance accounts of Mostafa Company on Dec. 31, 2024:

Held to maturity securities	**$50,000**	**Fund for pension**	**$30,000**
Trading securities	**20,000**	**Fund for sinking bonds**	**20,000**
Land	**100,000**	**Fund for future expansion**	**40,000**
Land for future use	**150,000**	**Fees receivable**	**25,000**
Franchise	**15,000**	**Prepaid insurance**	**35,000**
Unearned Fees	**28,000**	**Inventory**	**25,000**
Share capital	**200,000**	**Retained earnings**	**120,000**

Instructions: Prepare long term investment only.

Solution

Assets	
Non-current assets	
1 Long term investment	
Held to maturity securities	50,000
Land for future use	150,000
Fund for pension	30,000
Fund for sinking bonds	20,000
Fund for future expansion	40,000
	290,000

(9): Mostafa Company partial balance sheet shown as follows:

Property, plant, and equipment

Buildings (net)	**570**
Equipment (net)	**160**
Land held for future use (future development or speculation)	**175**

Instructions: Prepare a revised assets section. Assume that the accumulated depreciation balance for the buildings is €160 and for the equipment, €105.

Solution

Assets			
Non-current assets			
1 Long term investment			
Land held for future use			175
2 PPE			
Buildings (570 + 160)	730		
(-) Accum. Dep. - Building	(160)		
		570	
Equipment (160 + 105)	265		
(-) Accum. Dep. - Equipment	(105)		
		160	
			730

(10): Crane Corporation has the following accounts included in its December 31, 2024, trial balance: Trading Securities £21,000, Goodwill £150,000, Prepaid Insurance £12,000, Patents £220,000, and Franchises £130,000. Prepare the intangible assets section of the statement of financial position.

Solution

Intangible assets:	
Goodwill	£150,000
Patents	220,000
Franchises	130,000
Total intangibles	£500,000

(10):

Stine Corp.'s trial balance reflected the following account balances at December 31, 2024:

Accounts receivable (net)	**$24**
Trading securities	**6**
Accumulated depreciation—equipment	**15**
Cash	**21**
Inventory	**30**
Equipment	**25**
Patent	**4**
Prepaid expenses	**2**
Land held for future business site	**18**

In Stine's December 31, 2024 statement of financial position, what is the amount of total current assets?

Solution

AR	24
Trading securities	6
Cash	21
Inventory	30
Prepaid expenses	2
Current assets	83

(11):

Harding Corporation has the following accounts included in its December 31, 2024, trial balance: Accounts Receivable €110, Inventory €290, Allowance for Doubtful Accounts €8, Patents €72, Prepaid Insurance €9.5, Accounts Payable €77 and Cash €30. Prepare the current assets section of the statement of financial position.

Solution

Current Assets		
Inventory		290
Prepaid insurance		9.5
AR	110	
(-) AFDA	(8)	
		102
Cash		30
Total current assets		431.5

(12):

Koch Corporation's adjusted trial balance contained the following asset accounts at December 31, 2024: Cash €7, Land €40, Patents €12.5, Accounts Receivable €90, Prepaid Insurance €5.2, Inventory €30, Allowance for Doubtful Accounts €4 and Trading Securities €11. Prepare the current assets section of the statement of financial position.

Solution

Current Assets		
Inventory		30
Prepaid insurance		5.2
AR	90	
(-) AFDA	(4)	
		86
Trading Securities		11
Cash		7
Total current assets		139.2

(13):

Presented below are selected accounts of Aramis Company at December 31, 2024 (000 is omitted).

Inventory (finished goods)	**€52**	**Cost of Goods Sold**	**€2,100**
Unearned Service Revenue	**90**	**Notes Receivable**	**40**
Equipment	**253**	**Accounts Receivable**	**161**
Inventory (work in process)	**34**	**Inventory (raw materials)**	**187**
Cash	**42**	**Supplies Expense**	**60**
Trading Securities	**31**	**Allowance for Doubtful Accounts**	**12**
Customer Advances	**36**	**Licenses**	**18**
Cash Restricted for Plant Expansion	**50**	**Share Premium—Ordinary**	**88**
		Treasury Shares	**22**

The following additional information is available.

1. Inventory is valued at lower-of-cost-or-net realizable value using FIFO.

2. Equipment is recorded at cost. Accumulated depreciation, computed on a straight-line basis, is €50.6

3. The trading securities have a fair value of €29.

4. The notes receivable are due April 30, 2026, with interest receivable every April 30. The notes bear interest at 6%. (Hint: Accrue interest due on December 31, 2024.)

5. The allowance for doubtful accounts applies to the accounts receivable. Accounts receivable of €50 are pledged as collateral on a bank loan.

6. Licenses are recorded net of accumulated amortization of €14.

7. Treasury shares are recorded at cost.

Instructions

Prepare the current assets section of Aramis Company's December 31, 2024, statement of financial position, with appropriate disclosures.

Solution

Current assets		
Inventory, at lower of cost (using FIFO) or net realizable value		
Finished goods	52	
Work in process	34	
Raw materials	187	
		273
Accounts receivable (of which €50 is pledged as collateral on a bank loan)	161	
(-) AFDA	(12)	
		149
Interest receivable [(€40 X 6%) X $^{8}/_{12}$]		1.6
Trading securities at fair value (cost, €31)		29
Cash (92 – 50)		42
Total current assets		494.6

(13): Hawthorn Corporation's adjusted trial balance contained the following accounts at December 31, 2024: Retained Earnings €120, Share Capital—Ordinary €750, Bonds Payable €100, Share Premium—Ordinary €200, Goodwill €55, Accumulated Other Comprehensive Income €(150), and Non-Controlling Interest €80. Prepare the equity section of the statement of financial position.

Solution

Equity:	
Share capital—ordinary	€750
Share premium—ordinary	200
Retained earnings	120
Accumulated other comprehensive income (loss)	(150)
Non-controlling interest	80
Total equity	£500

(14):

Pascal Corporation is preparing its December 31, 2024, statement of financial position. The following items may be reported as either a current or non-current liability.

1) On December 15, 2024, Pascal declared a cash dividend of $2.00 per share to shareholders of record on December 31. The dividend is payable on January 15, 2025. Pascal has issued 1,000 ordinary shares of which 50 shares are held in treasury.

2) At December 31, bonds payable of $100 are outstanding. The bonds pay 8% interest every September 30 and mature in installments of $25 every September 30, beginning September 30, 2025.

3) At December 31, 2023, customer advances were $12. During 2024, Pascal collected $30 of customer advances, and advances of $25 were earned.

Instructions

Prepare the liabilities section of Pascal Corporation's December 31, 2024, statement of financial position, with appropriate disclosures.

Solution

Non-current liabilities		
Bonds Payable (100 – 25)		75
current liabilities		
Dividends payable (1,000 – 50) x 2	1,900	
Bonds Payable	25	
Interest payable (100 x 8% x $^3/_{12}$)	2	
Customer advances (12 + 30 – 25)	17	
		1,944
Total liabilities		2,019

(15):

Ames Company reported 2024 net income of HK$151. During 2024, accounts receivable increased by HK$13 and accounts payable increased by HK$9.5. Depreciation expense was HK$44. Prepare the cash flows from operating activities section of the statement of cash flows (amounts in millions).

Solution

Cash flows from operating activities:	
Net Income	151
+ Dep. ex.	44
(-) increase in AR	(13)
+ increase in AP	9.5
Net cash provided by operating activities	191.5

(16):

Keyser Beverage Company reported the following items in the most recent year (2024).

Net income	**$40,000**
Dividends paid	**5,000**
Increase in accounts receivable	**10,000**
Increase in accounts payable	**7,000**
Purchase of equipment	**8,000**
Depreciation expense	**4,000**
Issue of notes payable	**20,000**

Instructions

1) Prepare cash flow statement.

2) Compute free cash flow.

Solution

Keyser Beverage Company
Cash flow statement
For the year ended on December 31, 2024

Operating activities:		
Net Income	40,000	
+ Dep. ex.	4,000	
(-) increase in AR	(10,000)	
+ increase in AP	7,000	
Net cash provided by operating activities		41,000
Investing activities:		
Purchases of Equipment	(8,000)	
Net cash used in investing activities		(8,000)
Financing activities:		
Cash dividends	(5,000)	
Proceeds from issuing notes	20,000	
Net cash provided by financing activities		15,000
Net increase in cash		**48,000**

FCF = OCF – CapEx – Dividends = 41,000 – 8,000 – 5,000 = $28,000.

(16):

Martinez Corporation engaged in the following cash transactions during 2024.

Sale of land and building	**R$191,000**
Purchase of treasury shares	**40,000**
Purchase of land	**37,000**
Payment of cash dividend	**95,000**
Purchase of equipment	**53,000**
Issuance of ordinary shares	**147,000**
Retirement of bonds	**100,000**

Instructions:

1) Compute the net cash provided (used) by investing activities.

2) Compute the net cash provided (used) by financing activities.

Solution

Investing activities:	
Proceeds from selling land & building	191,000
Purchase of land	(37,000)
Purchase of equipment	(53,000)
Net cash provided by investing activities	101,000
Financing activities:	
Issuance of ordinary shares	147,000
Purchase of treasury shares	(40,000)
Payment of cash dividend	(95,000)
Retirement of bonds	(100,000)
Net cash used in financing activities	(88,000)

(17):

The comparative statements of financial position of Lopez Inc. at the beginning and the end of the year 2024 appear on the followings. (000 is omitted)

LOPEZ INC.
STATEMENTS OF FINANCIAL POSITION

Assets	Dec. 31, 2024	Jan. 1, 2024	Inc./Dec.
Equipment	$ 39	$ 22	$17 Inc.
Less: Accumulated depreciation-equipment	(17)	(11)	6 Inc.
Accounts receivable	91	88	3 Inc.
Cash	45	13	32 Inc.
Total	$158	$112	
Equity and Liabilities			
Share capital—ordinary	$100	$80	20 Inc.
Retained earnings	38	17	21 Inc.
Accounts payable	20	15	5 Inc.
Total	$158	$112	

Net income of $34 was reported, and dividends of $13 were paid in 2024. New equipment was purchased and none was sold.

Instructions

Prepare a statement of cash flows for the year 2024.

Solution

LOPEZ INC.
Statement of Cash Flows
For the Year Ended December 31, 2024

Operating activities:		
Net Income	34	
+ Dep. ex.	6	
(-) increase in AR	(3)	
+ increase in AP	5	
Net cash provided by operating activities		42
Investing activities:		
Purchases of Equipment	(17)	
Net cash used in investing activities		(17)
Financing activities:		
Issuance of ordinary shares	20	
Cash dividends	(13)	
Net cash provided by financing activities		7
Net increase in cash		32
+ Cash Beg.		13
Cash End.		45

(18):

A comparative statement of financial position for Orozco Corporation is presented below. (000 is omitted)

Assets	**2024**	**2023**	▲
Land	**€ 71**	**€110**	(39)
Equipment	**270**	**200**	70
Accumulated depreciation-equipment	**(69)**	**(42)**	27
Inventory	**180**	**189**	(9)
Accounts receivable	**82**	**66**	16
Cash	**63**	**22**	41
Total	**€597**	**€545**	
Equity and Liabilities			
Share capital-ordinary (€1 par)	**€214**	**€164**	50
Retained earnings	**199**	**134**	65
Bonds payable	**150**	**200**	(50)
Accounts payable	**34**	**47**	(13)
Total	**€597**	**€545**	

Additional information:

1) Net income for 2024 was €105.

2) Cash dividends of €40 were declared and paid.

3) Bonds payable amounting to €50 were retired through issuance of ordinary shares.

Instructions

1) Prepare a statement of cash flows for 2024 for Orozco Corporation.

2) Determine Orozco Corporation's free cash flow.

Solution

Orozco Corporation
Statement of Cash Flows
For the Year Ended December 31, 2024

Operating activities:		
Net Income	105	
+ Dep. ex.	27	
+ decrease in inventory	9	
(-) increase in AR	(16)	
(-) decrease in AP	(13)	
Net cash provided by operating activities		112
Investing activities:		
Sales of land	39	
Purchases of Equipment	(70)	
Net cash used in investing activities		(31)
Financing activities:		
Cash dividends	(40)	
Net cash used in financing activities		(40)
Net increase in cash		**41**
+ Cash Beg.		**22**
Cash End.		**63**

Noncash investing and financing activities were the issue of ordinary shares to retire €50 of bonds outstanding.

FCF = OCF – CapEx – Dividends = 112 – 70 – 40 = 2